

five. (Can mark only 5 options)

**Options :**

6406534738445. ✖ Orthogonal array

6406534738446. ✔ Trial percentage

6406534738447. ✖ Blind testing

6406534738448. ✔ Unaided brand awareness

6406534738449. ✔ Brand disposition

6406534738450. ✔ Association with attributes and benefits

6406534738451. ✖ Clutter cut-through

6406534738452. ✖ Employee motivation

6406534738453. ✔ Most often used brand

6406534738454. ✖ Reliability testing

## Managerial Economics

|                                                              |              |
|--------------------------------------------------------------|--------------|
| Section Id :                                                 | 64065399570  |
| Section Number :                                             | 14           |
| Section type :                                               | Online       |
| Mandatory or Optional :                                      | Mandatory    |
| Number of Questions :                                        | 15           |
| Number of Questions to be attempted :                        | 15           |
| Section Marks :                                              | 45           |
| Display Number Panel :                                       | Yes          |
| Section Negative Marks :                                     | 0            |
| Group All Questions :                                        | No           |
| Enable Mark as Answered Mark for Review and Clear Response : | No           |
| Section Maximum Duration :                                   | 0            |
| Section Minimum Duration :                                   | 0            |
| Section Time In :                                            | Minutes      |
| Maximum Instruction Time :                                   | 0            |
| Sub-Section Number :                                         | 1            |
| Sub-Section Id :                                             | 640653228588 |
| Question Shuffling Allowed :                                 | No           |

Question Number : 315 Question Id : 6406531416087 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

**THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS (COMPUTER BASED EXAM)"**

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?  
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406534738455. ✓ YES

6406534738456. ✗ NO

Sub-Section Number : 2  
Sub-Section Id : 640653228589  
Question Shuffling Allowed : No

Question Id : 6406531416088 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix  
Question Numbers : (316 to 323)

Question Label : Comprehension

The domestic demand for ball pens is given by  $Q^d = 100 - P$ , and the domestic supply is given by  $Q^s = P$  where  $Q^s$  and  $Q^d$  measure quantities in thousands of ball pens. Ball pens can currently be freely imported at the world price of ₹20.  
The government is planning to impose a tariff of ₹10 per unit on imported ball pens.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 316 Question Id : 6406531416089 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

The equilibrium price of ball pens in the domestic market without any imports will be  $P^* =$  \_\_\_\_\_

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

50

Question Number : 317 Question Id : 6406531416090 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

Consumer surplus in this case will be CS = \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Set

**Text Areas :** PlainText

**Possible Answers :**

1250

1250000

**Question Number : 318 Question Id : 6406531416091 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Producer surplus in this case will be PS = \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Set

**Text Areas :** PlainText

**Possible Answers :**

1250

1250000

**Question Number : 319 Question Id : 6406531416092 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

In case of import without tariff, how many total units of ball pens will be imported \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Set

**Text Areas :** PlainText

**Possible Answers :**

60

60000

**Question Number : 320 Question Id : 6406531416093 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

In case of import without tariff, how many units of ball pens are being supplied by domestic firms

\_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Set

**Text Areas :** PlainText

**Possible Answers :**

20

20000

**Question Number : 321 Question Id : 6406531416094 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

With the tariff, how many units would be imported? \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Set

**Text Areas :** PlainText

**Possible Answers :**

40

40000

**Question Number : 322 Question Id : 6406531416095 Question Type : SA**

**Correct Marks : 1.5**

Question Label : Short Answer Question

How much would domestic producer surplus change compared to the case with imports without tariffs if the government introduces a ₹10 import duty per ball pen? \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Set

**Text Areas :** PlainText

**Possible Answers :**

250000

250

**Question Number : 323 Question Id : 6406531416096 Question Type : SA**

**Correct Marks : 1.5**

Question Label : Short Answer Question

How much revenue would the domestic government collect from the imports of ball pens due to this import duty of ₹10? \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Set

**Text Areas :** PlainText

**Possible Answers :**

400

400000

**Sub-Section Number :** 3

**Sub-Section Id :** 640653228590

**Question Shuffling Allowed :** No

**Question Id : 6406531416097 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix**

**Question Numbers : (324 to 325)**

Question Label : Comprehension

A beekeeper lives adjacent to an apple orchard. The orchard owner benefits from the bees because each hive pollinates about one acre of apple trees. The orchard owner pays nothing for this service, however, because the bees come to the orchard without his having to do anything. Because there are not enough bees to pollinate the entire orchard, the orchard owner must complete the pollination by artificial means, at a cost of \$10 per acre of trees.

Beekeeping has a marginal cost  $MC=10+5Q$ , where  $Q$  is the number of beehives. Each hive yields \$50 worth of honey.

Based on the above data, answer the given subquestions.

**Sub questions**

**Question Number : 324 Question Id : 6406531416098 Question Type : SA**

**Correct Marks : 2**

Question Label : Short Answer Question

What should be the socially efficient number of hives that the beekeeper should maintain

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**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

10

**Question Number : 325 Question Id : 6406531416099 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

How many beehives will the beekeeper maintain if we ignore the apple orchard \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

8

**Sub-Section Number :**

4

**Sub-Section Id :**

640653228591

**Question Shuffling Allowed :**

No

**Question Id : 6406531416100 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix**

**Question Numbers : (326 to 327)**

Question Label : Comprehension

Imagine that you have been working after college and now face the decision of whether or not to get an MBA at a prestigious institution. The cost of getting the MBA is 10. (Again, you can decide on the denomination, but rest assured that this sum includes the income lost over the course of the two years you will be studying!) Your future value is your stream of income, which depends on the strength of the labor market for the next decade. If the labor market is strong then your income value from having an MBA is 32, while your income value from your current status is 12. If the labor market is average then your income value from having an MBA is 16, while your income value from your current status is 8. If the labor market is weak then your income value from having an MBA is 12, while your income value from your current status is 4. Further assume that the probability of a strong labor market is  $p$ , of an average labor market is 0.5 and of a weak labor market is  $0.5 - p$ .

Based on the above data, answer the given subquestions.

**Sub questions**

**Question Number : 326 Question Id : 6406531416101 Question Type : MCQ**

**Correct Marks : 2**

Question Label : Multiple Choice Question

For which values of  $p$  will you decide to get an MBA?

**Options :**

6406534738467. ✖  $p \geq \frac{1}{4}$

6406534738468. ✔  $p \geq \frac{1}{6}$

6406534738469. ✖  $p \leq \frac{1}{4}$

6406534738470. ✖  $p \leq \frac{1}{6}$

**Question Number : 327 Question Id : 6406531416102 Question Type : SA**

**Correct Marks : 2**

Question Label : Short Answer Question

If  $p = 0.4$ , what is the highest price the university can charge for you to be willing to go ahead and get an MBA? \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

2.8

**Question Id : 6406531416103 Question Type : COMPREHENSION Sub Question Shuffling**

**Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix**

**Question Numbers : (328 to 331)**

Question Label : Comprehension

Recall the example of apartments' market discussed in the week 1. Suppose the demand curve faced by a monopolist apartment owner who has 60 apartments is  $D(p) = 100 - 2p$ .

Based on the above data, answer the given subquestions.

**Sub questions**

**Question Number : 328 Question Id : 6406531416104 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

What price would this monopolist will set? \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

25

**Question Number : 329 Question Id : 6406531416105 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

How many apartments will he offer for rent? \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

50

**Question Number : 330 Question Id : 6406531416106 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

What price would he set if he had 40 apartments? \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

30

**Question Number : 331 Question Id : 6406531416107 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

How many would he rent if he had 40 apartments? \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

40

**Sub-Section Number : 5**

**Sub-Section Id : 640653228592**

**Question Shuffling Allowed : No**

**Question Id : 6406531416108 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix**



**Question Numbers : (332 to 340)**

Question Label : Comprehension

A monopolist can produce at a constant average (and marginal) cost of  $AC = MC = \$5$ . It faces a market demand curve given by  $Q = 53 - P$ .

Based on the above data, answer the given subquestions.

**Sub questions**

**Question Number : 332 Question Id : 6406531416109 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Calculate the profit-maximizing price (in \$)  
for this monopolist  $P^* =$  \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

29

**Question Number : 333 Question Id : 6406531416110 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Calculate the profit-maximizing quantity  
for this monopolist  $Q^* =$  \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

24

**Question Number : 334 Question Id : 6406531416111 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

What will be the profit of this monopolist? Profit = \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

576

**Question Number : 335 Question Id : 6406531416112 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Suppose a second firm enters the market. Let  $Q_1$  be the output of the first firm and  $Q_2$  be the output of the second. Market demand is now given by  $Q_1 + Q_2 = 53 - P$ . Assuming that this second firm has the same costs as the first and the firms are competing as per the Cournot competition, find out the equilibrium quantity for both firms, equilibrium price and difference in profit of a firm compared to monopolist case.

Find out the equilibrium quantity for  
both firms,  $Q_1^* + Q_2^* =$  \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

32

**Question Number : 336 Question Id : 6406531416113 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Suppose a second firm enters the market. Let  $Q_1$  be the output of the first firm and  $Q_2$  be the output of the second. Market demand is now given by  $Q_1 + Q_2 = 53 - P$ . Assuming that this second firm has the same costs as the first and the firms are competing as per the Cournot competition, find out the equilibrium quantity for both firms, equilibrium price and difference in profit of a firm compared to monopolist case.

Find out the equilibrium price for  
both of these firms  $P^* =$  \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

**Question Number : 337 Question Id : 6406531416114 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Suppose a second firm enters the market. Let  $Q_1$  be the output of the first firm and  $Q_2$  be the output of the second. Market demand is now given by  $Q_1 + Q_2 = 53 - P$ . Assuming that this second firm has the same costs as the first and the firms are competing as per the Cournot competition, find out the equilibrium quantity for both firms, equilibrium price and difference in profit of a firm compared to monopolist case.

Find the difference in profit of one firm compared to the monopolist case.

$\pi_{monopolist} - \pi_1 = \underline{\hspace{2cm}}$

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

320

**Question Number : 338 Question Id : 6406531416115 Question Type : SA**

**Correct Marks : 2**

Question Label : Short Answer Question

Suppose a second firm enters the market. Let  $Q_1$  be the output of the first firm and  $Q_2$  be the output of the second. Market demand is now given by  $Q_1 + Q_2 = 53 - P$ . Assuming that this second firm has the same costs as the first and the firms are competing as per the Cournot competition, find out the equilibrium quantity for both firms, equilibrium price and difference in profit of a firm compared to monopolist case.

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for both the firms, equilibrium market price and difference in profit of both firms compared to Cournot case.

Calculate the equilibrium quantity for both the firms,  $Q_1^* + Q_2^* = \underline{\hspace{2cm}}$

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas :** PlainText

**Possible Answers :**

36

**Question Number : 339 Question Id : 6406531416116 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Suppose a second firm enters the market. Let  $Q_1$  be the output of the first firm and  $Q_2$  be the output of the second. Market demand is now given by  $Q_1 + Q_2 = 53 - P$ . Assuming that this second firm has the same costs as the first and the firms are competing as per the Cournot competition, find out the equilibrium quantity for both firms, equilibrium price and difference in profit of a firm compared to monopolist case.

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for both the firms, equilibrium market price and difference in profit of both firms compared to Cournot case.

Calculate the equilibrium market  
price  $P^* =$  \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

17

**Question Number : 340 Question Id : 6406531416117 Question Type : SA**

**Correct Marks : 1**

Question Label : Short Answer Question

Suppose a second firm enters the market. Let  $Q_1$  be the output of the first firm and  $Q_2$  be the output of the second. Market demand is now given by  $Q_1 + Q_2 = 53 - P$ . Assuming that this second firm has the same costs as the first and the firms are competing as per the Cournot competition, find out the equilibrium quantity for both firms, equilibrium price and difference in profit of a firm compared to monopolist case.

Now suppose that the two firms are competing in the Stackelberg manner where one of the firms makes its output decision before the other. Suppose Firm 1 is the Stackelberg leader (i.e., makes its output decisions before Firm 2). Calculate the equilibrium quantity for both the firms, equilibrium market price and difference in profit of both firms compared to Cournot case.

$(\pi_1 + \pi_2)_{\text{Cournot}} - (\pi_1 + \pi_2)_{\text{Stackelberg}} =$  \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

80

**Sub-Section Number :**

6

**Sub-Section Id :**

640653228593

**Question Shuffling Allowed :**

No

**Question Id : 6406531416118 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (341 to 343)**

**Question Label :** Comprehension

In a market for old cars, there are 200 used cars for sale; half of these cars are good and half of them are lemons (the bad ones). Owners of lemons are willing to sell them for \$500. Owners of good used cars are willing to sell them for prices above \$1,100 but will keep them if the price is lower than \$1,100. There are many potential buyers who are willing to pay \$600 for a lemon and \$1,700 for a good car. Buyers can't tell good cars from bad, but original owners know.

Based on the above data, answer the given subquestions.

**Sub questions**

**Question Number : 341 Question Id : 6406531416119 Question Type : SA**

**Correct Marks : 1**

**Question Label :** Short Answer Question

The expected valuation of a car for a potential buyer will be (in \$) \_\_\_\_\_

**Response Type :** Numeric

**Evaluation Required For SA :** Yes

**Show Word Count :** Yes

**Answers Type :** Equal

**Text Areas :** PlainText

**Possible Answers :**

1150

**Question Number : 342 Question Id : 6406531416120 Question Type : MCQ**

**Correct Marks : 2**

**Question Label :** Multiple Choice Question

In equilibrium, what kind of cars will be sold

**Options :**

6406534738486. ✖ All the good quality cars

6406534738487. ✖ All the bad quality cars (Lemons)

6406534738488. ✔ All 200 cars

6406534738489. ✖ Cannot answer

**Question Number : 343 Question Id : 6406531416121 Question Type : SA**

**Correct Marks : 2**

Question Label : Short Answer Question

What will be the equilibrium price at which the buyers will buy the cars (in \$)? \_\_\_\_\_

**Response Type : Numeric**

**Evaluation Required For SA : Yes**

**Show Word Count : Yes**

**Answers Type : Equal**

**Text Areas : PlainText**

**Possible Answers :**

1150

**Sub-Section Number :**

7

**Sub-Section Id :**

640653228594

**Question Shuffling Allowed :**

No

**Question Id : 6406531416122 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix**

**Question Numbers : (344 to 345)**

Question Label : Comprehension

There are 50 low-risk people in a town and 50 high-risk people. A low-risk person has an average of \$500 in medical expenses each year and is willing to pay \$800 for medical insurance (this person is risk averse). A high-risk person has an average of \$1,200 in medical expenses each year and is willing to pay \$1,500 for medical insurance. Insurance companies are unable to differentiate who is high-risk and who is low risk.

Based on the above data, answer the given subquestions.

**Sub questions**

**Question Number : 344 Question Id : 6406531416123 Question Type : MCQ**

**Correct Marks : 1.5**

Question Label : Multiple Choice Question

If the insurance provider offered medical insurance at a price of \$1,000

**Options :**

6406534738491. ✖ Everyone will enroll for the insurance irrespective of the type

6406534738492. ✔ The provider will lose money

6406534738493. ✖ Both Everyone will enroll for the insurance irrespective of the type & The provider will lose money

6406534738494. ✖ None of these

**Question Number : 345 Question Id : 6406531416124 Question Type : MCQ**

**Correct Marks : 1.5**

Question Label : Multiple Choice Question

If the insurance company offered medical insurance at a price of \$1,300

**Options :**

6406534738495. ✖ low-risk people would not be insured

6406534738496. ✖ Total surplus will be \$10000 if the price is \$1300

6406534738497. ✔ Both low-risk people would not be insured & Total surplus will be \$10000 if the price is \$1300

6406534738498. ✖ None of these

**Sub-Section Number :**

8

**Sub-Section Id :**

640653228595

**Question Shuffling Allowed :**

Yes

**Question Number : 346 Question Id : 6406531416125 Question Type : MCQ**

**Correct Marks : 1**

Question Label : Multiple Choice Question

If the income of the consumer increases and the one of the prices decreases at the same time, the consumer will necessarily be at least as well-off.

**Options :**

6406534738499. ✔ True

6406534738500. ✖ False

**Question Number : 347 Question Id : 6406531416126 Question Type : MCQ**

**Correct Marks : 1**

Question Label : Multiple Choice Question

Which of the following is true about monopolistic competition?

**Options :**

6406534738501. ✖ Firms compete by selling differentiated products that are highly, but not perfectly substitutable

6406534738502. ✖ There is free entry and exit from the market

6406534738503. ✔ Both Firms compete by selling differentiated products that are highly, but not perfectly substitutable & There is free entry and exit from the market

6406534738504. ✖ None of these

**Question Number : 348 Question Id : 6406531416127 Question Type : MCQ**

**Correct Marks : 1**

Question Label : Multiple Choice Question

A monopolist always produces in

**Options :**

6406534738505. ✖ The inelastic region of market demand curve

6406534738506. ✔ The elastic region of market demand curve

6406534738507. ✖ The whole demand curve

6406534738508. ✖ None of these

**Question Number : 349 Question Id : 6406531416128 Question Type : MCQ**

**Correct Marks : 1**

Question Label : Multiple Choice Question

Public goods are provided by the government because

**Options :**

6406534738509. ✖ Private firms do not take into account the impact of external costs.

6406534738510. ✖ Governments are more efficient than private firms at producing public goods.

6406534738511. ✖ People value national defence very highly.

6406534738512. ✖ Private firms will make an economic profit.

6406534738513. ✔ free-rider problems result in underproduction by private markets.

**Question Number : 350 Question Id : 6406531416129 Question Type : MCQ**

**Correct Marks : 1**

Question Label : Multiple Choice Question

Which goods represent network goods?

**Options :**

6406534738514. ✖ Pepsi, toilet paper, headphones

6406534738515. ✖ calculator, oven, couch

6406534738516. ✔ Twitter, Microsoft Excel, Facebook

6406534738517. ✖ fireworks, lighthouse, swimming pool

**Question Number : 351 Question Id : 6406531416130 Question Type : MCQ**

**Correct Marks : 1**

Question Label : Multiple Choice Question

Moral hazard occurs when contracts are written in such a way that

**Options :**

6406534738518. ✖ the interests of agent and principal converge

6406534738519. ✔ the interests of agent and principal diverge

6406534738520. ✖ agents will wish to maximize the principal's utility

6406534738521. ✖ production and risk-bearing efficiency are achieved

**Question Number : 352 Question Id : 6406531416131 Question Type : MCQ**

**Correct Marks : 1**

Question Label : Multiple Choice Question